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What's News

Business & Finance

- ◆ **Major U.S. stock indexes** rose, with the S&P 500 and Nasdaq hitting records on respective gains of 0.6% and 0.5%. The Dow industrials advanced 0.5%. **A1**
- ◆ **Hackers used** a Chinese artificial-intelligence agent to attack South Korea's biggest banks and steal the personal information of 68,000 people. **B1**
- ◆ **The bonus pool** for securities-industry employees in New York state is expected to increase this year as Wall Street appears on track to rack up \$90 billion in profits. **B1**
- ◆ **Google and Constellation Energy** agreed to a sweeping, 20-year nuclear-power deal that would boost output at 11 existing reactors. **B1**
- ◆ **Amazon.com's** Prime Video will be the new home for the Emmy Awards starting in 2027, as another Hollywood gala abandons broadcast television. **B1**
- ◆ **Medical-device maker** Becton Dickinson signed a deal with the Trump administration to invest \$19 billion in the U.S. in exchange for relief from future tariffs. **B2**
- ◆ **Uber will expand** its food-delivery service with the \$2.3 billion acquisition of ezCater, giving the buyer access to a network used primarily in workplaces. **B2**
- ◆ **L'Oréal engaged** advisers to explore unloading chemical-related liabilities, consulting Weil Gotshal & Manges and Ducera Partners. **B3**
- ◆ **Nvidia-backed** cloud-computing company Lambda is raising up to \$4 billion in a final round before the company's planned IPO. **B4**

Worldwide

- ◆ **German police** detained the country's former head of its foreign-intelligence service on suspicion of espionage and attempted treason in one of the biggest scandals to engulf the spy agency since its creation in the mid-1950s. **A1**
- ◆ **France's finance minister** said the government was prepared to bypass Parliament to approve billions in spending cuts if negotiations stall over next year's budget. **A11**
- ◆ **Belgian particle physicist** Francis Halzen was awarded the 2026 Nobel Prize in Physics for his contributions to astronomy and his work on the IceCube Neutrino Observatory at the South Pole. **A3**
- ◆ **Tennessee inmate** Christa Pike, who survived the state's attempt to execute her by lethal injection, was conscious and speaking at the hospital where she is being treated. **A3**
- ◆ **Activists and others** in India are challenging a purge by the Modi government that has removed about 130 million people from voter rolls. **A8**
- ◆ **A man who fell ill** with Ebola in the Democratic Republic of Congo crossed three countries and boarded a commercial flight to Nairobi, where he died of the disease, Kenyan officials said. **A8**
- ◆ **Spain's government** approved urgent measures to tackle a housing crisis after an outbreak of violence the night before in Barcelona over the issue. **A8**
- ◆ **Died: Eva Marie Saint**, 102, star of classic American films. **A6** ... **Jim Bakker**, 86, disgraced televangelist. **A6**

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High-schoolers in Paris and nationwide rallied Tuesday for more education spending as the government pushed for broad cuts.

After Years of ‘Magic Money,’ France Becomes a Debt Bomb

Overspending has turned the country into one of Europe's weakest links

By STACY MEICHTRY AND CHELSEY DULANEY

France is on the precipice of a dangerous financial spiral. The global surge in interest rates has exposed the country, once considered an oasis of relative stability in Europe's financial markets, as one of the continent's weakest links. France now pays more to borrow than former crisis hot spots like Greece and Italy. Its

government is running a budget deficit surpassed only by the United States among its peers. Last week, a slow-burning selloff in France's government bond market took an alarming turn as it spread across the continent, reviving memories of the eurozone debt crisis last decade. France's 10-year borrowing cost has risen toward 5%, the highest level since 2002. Investors are bracing for things to get worse. The rise in rates is saddling the government with higher costs just as it needs to refinance a mountain of debt borrowed during the era of ultralow interest

rates. France has more than \$1 trillion in debt coming due by 2030, and next year is set to sell a record of about \$380 billion in debt into a market where once-reliable sources of demand have evaporated. France's central bank is no longer buying government bonds and is instead letting its portfolio shrink as bonds mature. Once-steady investors like Japanese asset managers have also stepped back. Hedge funds that have stepped into the void have been burned by the recent volatility. "France has been this free rider in Europe for years, if not decades. It has gotten away with fiscal murder," said Kevin

Thozet, a portfolio adviser at the French asset manager Carmignac. "It worked as long as people were not noticing. Now people have started to notice." The cost of servicing France's debt is expected to climb 59% by 2030, according to a recent study commissioned by the French finance ministry. Debt payments are now one of the French government's largest line items and could dwarf military spending by the end of the decade. France's debt, now worth nearly 120% of gross domestic product, risks putting *Please turn to page A11*

◆ **French government lays out steps to set cuts A11**

AI Drives Nasdaq, S&P 500 To Record Closes

Indexes blow past previous highs even as most U.S. stocks see a decline in price

By HANNAH ERIN LANG

The AI trade is propelling stocks to new heights—and it is dragging the rest of the market along for the ride. The S&P 500 and Nasdaq composite blew past new closing records on Tuesday, the latest leg of a rally that has powered through everything in its path, from the Federal Reserve's decision to raise rates for the first time in three years to a months-long war that lifted oil prices to \$100 a barrel. Increasingly, the market is running on one engine: a familiar cast of tech companies that are building out (and benefiting from) the AI revolution. Nvidia, whose grip as the dominant supplier of chips that power AI has made it the world's most-valuable company, has jumped 4.5% in the past week to a new all-time high. Meta Platforms is up 24% since Aug. 13, when the S&P 500 had its previous high. Just about everything else is going down. Shares of healthcare firms, banks and consumer staple companies are declining. So are small-cap stocks. And blue chips, like the Dow industrials. The yawning gap between the market's biggest winners and other stocks is growing larger. Less than half of the stocks in the S&P 500 closed above their 200-day moving *Please turn to page A2*

INSIDE



BEN CLETON FOR WSJ

U.S. NEWS

Furor over Cornell University rape case disrupts president's tenure. **A3**



PERSONAL JOURNAL

Middle-schoolers turn to AI chatbots for friendship—at an emotional cost. **A12**

Germany Arrests Ex-Spy Chief Over Suspicion of Espionage

By BERTRAND BENOIT

BERLIN—German police on Tuesday detained the country's former head of its foreign-intelligence service on suspicion of espionage and attempted treason in one of the biggest scandals to engulf the spy agency since its creation in the mid-1950s. August Hanning, who led the Federal Intelligence Service, or BND, from 1998 to 2005, was arrested under suspicion of illegally obtaining classified information for years and, in at least one case, passing it on to a foreign intelligence agent, Germany's

General Federal Prosecutor said. A lawyer for Hanning couldn't be contacted for comment. Police also arrested Hanning's former bureau chief, only identified as Manfred D., who allegedly passed classified information to Hanning for more than a decade in his function as bureau chief between 2012 and 2026 for subsequent BND presidents. Manfred D. passed nearly 2,000 documents, many of them classified, to Hanning up to June 2022, the prosecutors said. These documents were in-

tended for the preparation of a regular meeting of senior German intelligence and security officials in the chancellery—one of the country's highest-ranking and most closely guarded intelligence and security gatherings. The arrest of Hanning marks the first time a former BND chief has been detained. The agency has faced criticism for failing to predict Russia's full-scale invasion of Ukraine. The agency's then-president, Bruno Kahl, now Germany's ambassador to the Vatican, was in Kyiv on the *Please turn to page A10*

Oracle, Billionaire, YouTube Nut

Warren Buffett binges show tunes and reality TV

By GREGORY ZUCKERMAN

Feeling guilty about spending hours each day watching YouTube? Don't be. Warren Buffett is right there with you. Glenn Close clips. Commercials from the 1950s. Paul Anka videos. The famed investor can't get enough. Buffett enjoys speeches by complete unknowns. He's a fan of Berkshire Hathaway's own content, too, proud of how it performs on the video platform. He watches it all, nearly every evening, usually from a recliner in his Omaha home. "Warren's range is broad," *Please turn to page A13*

Oil Flows From Hormuz Again—Just Not Diesel

By COLLIN EATON

Ships are ferrying almost as much crude oil out of the Strait of Hormuz as they were before the Iran war. But they are barely moving any barrels of the fuel the world needs most: diesel. For now, the distinction is paramount in American politics. Ahead of the midterms, President Trump's team has explored a long list of options to arrest the skyrocketing price of diesel fuel, which factors into the cost of groceries, gadgets and just about everything else moved on semitruck beds. The national average for a gallon of diesel hit a record \$6.53 late last month. In California, where supplies are increasingly tight and fuel taxes are higher, diesel reached a historic high of \$8.44 a gallon. "Consumers don't buy crude oil. They buy gasoline,

jet fuel and diesel," said Andy Lipow, president of Lipow Oil Associates in Houston. "As a result of missile and drone strikes in the Middle East, several large refineries have been damaged. The world finds itself short of refined products." The recovery in oil flows out of the Strait of Hormuz won't fix the problem anytime soon. As of Saturday, the seven-day average for crude-oil cargoes clearing the critical waterway between Iran and Oman reached 10.3 million barrels a day, or 76% of the prewar baseline, according to the latest available data from market intelligence firm Kpler. But cargoes of oil products like gasoline and diesel came to 1.3 million barrels a day, accounting for only 11% of the *Please turn to page A6*

◆ **Yemen's Houthi militants strike Saudi airports..... A7**

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